

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 24-12

20230930-DK-BUTTERFLY-1, INC. f/k/a BED BATH & BEYOND INC. v.
EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982) consisting of
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD.,
AND EVERGREEN MARINE (SINGAPORE) PTE. LTD.

**ANSWER TO VERIFIED
COMPLAINT WITH AFFIRMATIVE DEFENSES**

Respondents, Evergreen Line Joint Service Agreement, Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Ltd., Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively, “Evergreen” or “Respondents”), by their attorneys, Betancourt, Greco & Evans LLC, as and for their answer to the Verified Complaint allege upon information and belief as follows:

ANSWERING SECTION I. INTRODUCTION

1. The allegations contained in Paragraph 1 of the Verified Complaint are conclusions of law properly resolvable by the Federal Maritime Commission (the

“Commission”). To the extent they are not conclusions of law, they are denied, including that reparations are due.

2. Admit the allegations contained in Paragraph 2 of the Verified Complaint.

3. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 8 of the Verified Complaint, except admit that Evergreen is a signatory to the Ocean Alliance, that Evergreen operates 217 vessels, that Evergreen’s capacity market share is 5.64% and that Evergreen’s TEU operational capacity is 1.66 million.

4. Deny each and every allegation contained in Paragraph 4 of the Verified Complaint.

5. Deny each and every allegation contained in Paragraph 5 of the Verified Complaint, except admit that Evergreen entered into Service Contract Nos. SC83272 and SC84709, as amended (the “Service Contracts”), which documents speak for themselves.

6. Deny that Evergreen failed to meet and/or breached its service commitments, engaged in misconduct and that shippers, including Complainant, suffered from such misconduct, and otherwise deny knowledge or information sufficient to form a belief as to the remaining allegations contained in Paragraph 6 of the Verified Complaint.

7. Deny each and every allegation contained in Paragraph 7 of the Verified Complaint.

8. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 8 of the Verified Complaint.

9. Deny each and every allegation contained in Paragraph 9 of the Verified Complaint.

10. Deny each and every allegation contained in Paragraph 10 of the Verified Complaint. Respondents' annual reports speak for themselves.

11. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 11 of the Verified Complaint.

12. Deny each and every allegation contained in Paragraph 12 of the Verified Complaint.

13. The allegations contained in Paragraph 13 of the Verified Complaint are conclusions of law properly resolvable by the Commission. To the extent they are not conclusions of law, they are denied.

ANSWERING SECTION II. THE COMPLAINANT

14. The allegations contained in Paragraph 14 of the Verified Complaint are conclusions of law properly resolvable by the Commission. To the extent they are not conclusions of law, Evergreen denies knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 14 of the Verified Complaint.

ANSWERING SECTION III. THE RESPONDENTS

15. Admit the allegations contained in Paragraph 15 of the Verified Complaint.
16. Admit the allegations contained in Paragraph 16 of the Verified Complaint.
17. Admit the allegations contained in Paragraph 17 of the Verified Complaint.
18. Admit the allegations contained in Paragraph 18 of the Verified Complaint.
19. Admit the allegations contained in Paragraph 19 of the Verified Complaint.
20. Admit the allegations contained in Paragraph 20 of the Verified Complaint.

ANSWERING SECTION IV. JURISDICTION AND LEGAL AUTHORITY

21. Deny each and every allegation contained in Paragraph 21 of the Verified Complaint.

22. The allegations contained in Paragraph 22 of the Verified Complaint are conclusions of law properly resolvable by the Commission. To the extent they are not conclusions of law, Evergreen denies knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 22 of the Verified Complaint.

23. The allegations contained in Paragraph 23 of the Verified Complaint are conclusions of law properly resolvable by the Commission. To the extent they are not conclusions of law, they are denied.

24. Deny each and every allegation contained in Paragraph 24 of the Verified Complaint.

25. Deny each and every allegation contained in Paragraph 25 of the Verified Complaint.

26. Deny each and every allegation contained in Paragraph 26 of the Verified Complaint.

27. Deny each and every allegation contained in Paragraph 27 of the Verified Complaint.

28. Deny each and every allegation contained in Paragraph 28 of the Verified Complaint.

29. Deny each and every allegation contained in Paragraph 29 of the Verified Complaint.

30. Deny each and every allegation contained in Paragraph 30 of the Verified Complaint.

**ANSWERING SECTION V.
THE MATTERS COMPLAINED OF (ALLEGED FACTS)**

31. Deny each and every allegation contained in Paragraph 31 of the Verified Complaint, except admit that Evergreen entered into Service Contract Nos. SC83272 and SC84709, as amended, which documents speak for themselves.

32. Deny each and every allegation contained in Paragraph 32 of the Verified Complaint, except admit that Evergreen entered into Service Contract No. SC83272, as amended, which documents speak for themselves.

33. Deny each and every allegation contained in Paragraph 33 of the Verified Complaint, except admit that Evergreen entered into Service Contract No. SC84709, as amended, which documents speak for themselves.

34. Deny each and every allegation contained in Paragraph 34 of the Verified Complaint.

35. Deny knowledge or information sufficient to form a belief as to whether Complainant sought carriage from other sources or forwent shipments, and otherwise deny the allegations contained in Paragraph 35 of the Verified Complaint.

36. Deny each and every allegation contained in Paragraph 36 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

37. Deny each and every allegation contained in Paragraph 37 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

38. Deny each and every allegation contained in Paragraph 38 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

39. Deny each and every allegation contained in Paragraph 39 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

40. Deny each and every allegation contained in Paragraph 40 of the Verified Complaint.

41. Deny each and every allegation contained in Paragraph 41 of the Verified Complaint.

42. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 42 of the Verified Complaint.

43. Deny each and every allegation contained in Paragraph 43 of the Verified Complaint.

44. Deny each and every allegation contained in Paragraph 44 of the Verified Complaint.

45. Deny each and every allegation contained in Paragraph 45 of the Verified Complaint.

46. Deny each and every allegation contained in Paragraph 46 of the Verified Complaint.

47. Deny each and every allegation contained in Paragraph 47 of the Verified Complaint.

48. Deny each and every allegation contained in Paragraph 48 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

49. Deny each and every allegation contained in Paragraph 49 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

50. Deny each and every allegation contained in Paragraph 50 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

51. Deny each and every allegation contained in Paragraph 51 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

52. Deny each and every allegation contained in Paragraph 52 of the Verified Complaint. The correspondence between Complainant and Evergreen speaks for itself.

53. Deny each and every allegation contained in Paragraph 53 of the Verified Complaint.

54. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 54 of the Verified Complaint.

55. Deny knowledge or information sufficient to form a belief as to allegations concerning Complainant's communications and dealings with its drayage vendors, and otherwise deny the allegations contained in Paragraph 55 of the Verified Complaint.

56. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 56 of the Verified Complaint.

57. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 57 of the Verified Complaint.

58. Deny each and every allegation contained in Paragraph 58 of the Verified Complaint. Respondents annual reports speak for themselves.

59. Deny each and every allegation contained in Paragraph 59 of the Verified Complaint.

60. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 60 of the Verified Complaint. The Final Report of Commissioner Dye speaks for itself.

61. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 61 of the Verified Complaint. The Federal Maritime Commission's Interpretive Rules speak for themselves.

62. Deny each and every allegation contained in Paragraph 62 of the Verified Complaint.

63. Deny each and every allegation contained in Paragraph 63 of the Verified Complaint.

64. Deny each and every allegation contained in Paragraph 64 of the Verified Complaint.

65. Deny knowledge or information sufficient to form a belief as to the allegations contained in Paragraph 65 of the Verified Complaint.

66. Deny each and every allegation contained in Paragraph 66 of the Verified Complaint.

67. Deny each and every allegation contained in Paragraph 67 of the Verified Complaint.

68. Deny each and every allegation contained in Paragraph 68 of the Verified Complaint.

69. Deny each and every allegation contained in Paragraph 69 of the Verified Complaint.

70. Deny each and every allegation contained in Paragraph 70 of the Verified Complaint.

71. Deny each and every allegation contained in Paragraph 71 of the Verified Complaint.

72. Deny each and every allegation contained in Paragraph 72 of the Verified Complaint.

73. Deny each and every allegation contained in Paragraph 73 of the Verified Complaint.

74. Deny each and every allegation contained in Paragraph 74 of the Verified Complaint.

75. Deny each and every allegation contained in Paragraph 75 of the Verified Complaint.

76. Deny each and every allegation contained in Paragraph 76 of the Verified Complaint.

77. Deny each and every allegation contained in Paragraph 77 of the Verified Complaint.

**ANSWERING SECTION VI.
CAUSES OF ACTION**

ANSWERING COUNT I

78. Respondent Evergreen repeats and realleges the answers contained in Paragraphs 1 through 77 herein with the same force and effect as if fully set forth herein, and, except as so admitted, deny the allegations contained in Paragraph 78 of Count I of the Verified Complaint.

79. Deny each and every allegation contained in Paragraph 79 of Count I of the Verified Complaint.

ANSWERING COUNT II

80. Respondent Evergreen repeats and realleges the answers contained in Paragraphs 1 through 79 herein with the same force and effect as if fully set forth herein, and, except as so admitted, deny the allegations contained in Paragraph 80 of Count II of the Verified Complaint.

81. Deny each and every allegation contained in Paragraph 81 of Count II of the Verified Complaint.

ANSWERING COUNT III

82. Respondent Evergreen repeats and realleges the answers contained in Paragraphs 1 through 81 herein with the same force and effect as if fully set forth herein, and, except as so admitted, deny the allegations contained in Paragraph 82 of Count III of the Verified Complaint.

83. Deny each and every allegation contained in Paragraph 83 of Count III of the Verified Complaint.

ANSWERING COUNT IV

84. Respondent Evergreen repeats and realleges the answers contained in Paragraphs 1 through 83 herein with the same force and effect as if fully set forth herein, and, except as so admitted, deny the allegations contained in Paragraph 84 of Count IV of the Verified Complaint.

85. Deny each and every allegation contained in Paragraph 85 of Count IV of the Verified Complaint.

ANSWERING SECTION VII. CAUSATION

86. Deny each and every allegation contained in Paragraph 86 of the Verified Complaint.

87. Deny each and every allegation contained in Paragraph 87 of the Verified Complaint.

88. Deny each and every allegation contained in Paragraph 88 of the Verified Complaint.

89. Deny each and every allegation contained in Paragraph 89 of the Verified Complaint.

ANSWERING SECTION VIII.
REPARATIONS SOUGHT/COMPLAINANT'S DAMAGES

90. Deny each and every allegation contained in Paragraph 90 of the Verified Complaint.

91. Deny each and every allegation contained in Paragraph 91 of the Verified Complaint.

92. Deny each and every allegation contained in Paragraph 92 of the Verified Complaint.

93. Deny each and every allegation contained in Paragraph 93 of the Verified Complaint.

94. Deny each and every allegation contained in Paragraph 94 of the Verified Complaint.

95. Deny each and every allegation contained in Paragraph 95 of the Verified Complaint.

96. Deny each and every allegation contained in Paragraph 96 of the Verified Complaint.

97. Deny each and every allegation contained in Paragraph 97 of the Verified Complaint.

98. Deny each and every allegation contained in Paragraph 98 of the Verified Complaint.

99. Deny each and every allegation contained in Paragraph 99 of the Verified Complaint.

100. Deny each and every allegation contained in Paragraph 100 of the Verified Complaint, except admit that Complainant paid Respondent certain demurrage and detention charges.

101. Deny each and every allegation contained in Paragraph 101 of the Verified Complaint.

WHEREFORE, Respondents demand judgment dismissing each and every Count and cause of action of Complainant's Verified Complaint and awarding Respondents costs, disbursements, interest, and attorneys' fees in this action, and such other further and different relief as the Commission may deem just and proper.

FIRST AFFIRMATIVE DEFENSE

102. The Complaint fails to state a claim upon which relief may be granted and/or fails to state legal causes of action.

SECOND AFFIRMATIVE DEFENSE

103. Complainant has failed to state a claim for which relief may be granted because the Commission's interpretation of the purported Shipping Act violations may not be lawfully applied to conduct which occurred before the interpretation was adopted.

THIRD AFFIRMATIVE DEFENSE

104. Without waiving any other defenses, Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over all or some of Complainant's claims and causes of action. Complainant alleges breaches of its Service Contracts with Respondents. However, 46 U.S.C. § 40502(f) provides that the exclusive remedy for alleged breaches of a service contract is "an action in an appropriate court," not before the Commission.

FOURTH AFFIRMATIVE DEFENSE

105. The Complaint alleges breach of contract issues and not Shipping Act violations.

FIFTH AFFIRMATIVE DEFENSE

106. This Answer is made without waiver of any jurisdictional defenses or rights to proceed in another forum as agreed to by the parties.

SIXTH AFFIRMATIVE DEFENSE

107. Complainant lacks standing to bring the Complaint and seek the relief requested.

SEVENTH AFFIRMATIVE DEFENSE

108. The shipments at issue were subject to the terms, conditions, limitations, and defenses available by reason of provisions contained in bills of lading, sea waybills, contracts of carriage, charter-parties, slot charters, vessel sharing agreements, service contracts, inter-modal contracts, dock receipts, delivery orders, special contracts and applicable tariffs.

EIGHTH AFFIRMATIVE DEFENSE

109. Respondents did not commit any Shipping Act violations and are thus not liable to Complainant on the causes of action alleged in the Complaint.

NINTH AFFIRMATIVE DEFENSE

110. Respondents violated no legal duties owing to Complainant.

TENTH AFFIRMATIVE DEFENSE

111. Complainant's claims are barred by the applicable statute of limitations, the contractual terms between the parties and/or the doctrine of laches, and Respondents put Complainant to its proof of compliance with the contractual provisions for the giving of notice and the commencement of this proceeding as provided for in the aforesaid contracts.

ELEVENTH AFFIRMATIVE DEFENSE

112. Complainant's claims and causes of action are barred in whole or in part by the doctrines of waiver and/or estoppel.

TWELFTH AFFIRMATIVE DEFENSE

113. The Service Contracts were impossible and/or commercially impracticable to perform due to factors beyond the parties' control.

THIRTEENTH AFFIRMATIVE DEFENSE

114. The Complaint fails to allege the essential elements of the Shipping Act, including 46 U.S.C. §§ 41102(c), 41104(a)(2) and 41104 (a)(10), and 46 C.F.R. § 545.5.

FOURTEENTH AFFIRMATIVE DEFENSE

115. The claimed Shipping Act violations, which are denied, were neither customary nor continuous.

FIFTEENTH AFFIRMATIVE DEFENSE

116. Respondents' actions and practices were not unjust or unreasonable.

SIXTEENTH AFFIRMATIVE DEFENSE

117. The alleged conduct which is the subject to the Complaint does not constitute a practice within the meaning of 46 U.S.C. § 41102(c).

SEVENTEENTH AFFIRMATIVE DEFENSE

118. Complainant's alleged losses, damages, and/or charges and expenses suffered by or in connection with the Service Contracts and cargoes as alleged in the Complaint, which are denied, were caused in whole or in part by the fault, design or neglect, dereliction or want of care of the Complainant, its agents, servants, and/or employees and/or those in charge for whom Complainant is responsible.

EIGHTEENTH AFFIRMATIVE DEFENSE

119. Complainant's alleged losses, damages, and/or charges and expenses suffered by or in connection with the Service Contracts and cargoes as alleged in the Complaint, resulted from causes within the privity and knowledge of Complainant and/or their officers, directors, managers, supervisors, superintendents, agents, employees and/or such persons whose privity and knowledge are imputable to Complainant.

NINETEENTH AFFIRMATIVE DEFENSE

120. Complainant is guilty of culpable conduct in the events giving rise to the claims asserted in the Complaint, and Complainant's recovery, if any, must be diminished in proportion thereto.

TWENTIETH AFFIRMATIVE DEFENSE

121. If Complainant was injured in the manner and for the reasons alleged by Complainant, which is denied, its injuries were caused in whole or in part by its own negligence or the negligence of others for whose negligence Respondents are not liable.

TWENTY-FIRST AFFIRMATIVE DEFENSE

122. Complainant's claims are barred or their damages, if any, are to be reduced by virtue of the doctrines of assumption of risk and/or comparative negligence.

TWENTY-SECOND AFFIRMATIVE DEFENSE

123. Respondent's practices and actions were not the proximate cause of Complainant's alleged damages.

TWENTY-THIRD AFFIRMATIVE DEFENSE

124. If Complainant was damaged as alleged, which is denied, the damages were caused in whole or in part by an intervening and/or superceding cause for which Respondents are not liable.

TWENTY-FOURTH AFFIRMATIVE DEFENSE

125. Complainant's alleged damages, which are denied, resulted from circumstances and conditions beyond the control of Respondents.

TWENTY-FIFTH AFFIRMATIVE DEFENSE

126. Complainant's alleged damages were caused by Restraints of Princes, Acts of God, and/or *Force Majeure*, and Respondents thus have no liability for Complainant's alleged damages.

TWENTY-SIXTH AFFIRMATIVE DEFENSE

127. Complainant knowingly and intentionally assumed any and all risks inherent in the shipment of the goods by sea, which is a complete bar to recovery.

TWENTY-SEVENTH AFFIRMATIVE DEFENSE

128. Complainant failed to mitigate its damages.

TWENTY-EIGHTH AFFIRMATIVE DEFENSE

129. In the event of the Respondents' failure to meet the annual minimum quantity commitments, which is denied, the Service Contracts provided for specific remedies which are at odds with the claims for loss asserted by Complainant in the Complaint.

TWENTY-NINTH AFFIRMATIVE DEFENSE

130. Complainant breached its Service Contracts with Respondents, including, without limitation, by claiming damages in breach the Service Contracts' liquidated damages provisions.

THIRTIETH AFFIRMATIVE DEFENSE

131. The Commission does not have authority to adjudicate Complainant's claims.

THIRTY-FIRST AFFIRMATIVE DEFENSE

132. Respondents are entitled to and demand a trial by jury.

THIRTY-SECOND AFFIRMATIVE DEFENSE

133. The prosecution and adjudication of this action before the Commission denies Respondents due process.

**RESERVATION OF RIGHTS TO ENFORCE THE
FORUM SELECTION CLAUSE IN THE CONTRACTS AT ISSUE**

Respondents do not waive and expressly reserve the right to seek enforcement of the forum selection clause and/or choice of law clause contained in the applicable Service Contracts at issue.

**RESERVATION OF RIGHTS TO AMEND THE
ANSWER AND/OR TO BRING A THIRD-PARTY CLAIM**

Respondents do not waive and expressly reserve the right to amend this Answer and/or to plead any additional affirmative defenses and/or to bring third-party claims as the facts may warrant.

REQUEST FOR ORAL HEARING

Respondents respectfully request an oral hearing in Washington, D.C.

Dated: July 5, 2024

BETANCOURT, GRECO & EVANS LLC
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VERIFICATION

I, GEORGE RUNYON, of full age, hereby certify:

I am the Executive Vice President of Evergreen Shipping Agency (America) Corp., agents for Evergreen Line Joint Service Agreement. I have read the foregoing Answer To Verified Complaint With Affirmative Defenses and know the contents thereof. The same is true and correct to the best of my knowledge, information and belief, including information received from others. I affirm that the foregoing statements are true and correct under penalties of perjury.



GEORGE RUNYON